



August 2024

Amendments to FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* and FRS 105 *The Financial Reporting Standard applicable to the Micro-entities Regime* Irish company size thresholds

The FRC's purpose is to serve the public interest by setting high standards of corporate governance, reporting and audit and by holding to account those responsible for delivering them. The FRC sets the UK Corporate Governance and Stewardship Codes and UK standards for accounting and actuarial work; monitors and takes action to promote the quality of corporate reporting; and operates independent enforcement arrangements for accountants and actuaries. As the Competent Authority for audit in the UK the FRC sets auditing and ethical standards and monitors and enforces audit quality.

The FRC does not accept any liability to any party for any loss, damage or costs howsoever arising, whether directly or indirectly, whether in contract, tort or otherwise from any action or decision taken (or not taken) as a result of any person relying on or otherwise using this document or arising from any omission from it.

© The Financial Reporting Council Limited 2024
The Financial Reporting Council Limited is a company limited by guarantee.
Registered in England number 2486368. Registered Office:
8th Floor, 125 London Wall, London EC2Y 5AS



August 2024

Amendments to FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* and FRS 105 *The Financial Reporting Standard applicable to the Micro-entities Regime*

Irish company size thresholds

Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities regime – Irish company size thresholds amends two accounting standards. It is issued by the Financial Reporting Council, as a prescribed body, for application in the United Kingdom and Republic of Ireland.

Contents

	Page
Overview	3
<i>Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland</i>	4
Section 1 Scope	5
Appendix IV Republic of Ireland legal references	6
<i>Amendments to FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime</i>	7
Section 1 Scope	8
Appendix IV Republic of Ireland legal references	9
Approval by the FRC	10
<i>Amendments to Basis for Conclusions FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland</i>	11
<i>Amendments to Basis for Conclusions FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime</i>	12

Overview

- (i) The FRC's overriding objective in setting accounting standards is to enable users of accounts to receive high-quality understandable financial reporting proportionate to the size and complexity of the entity and users' information needs.

Amendments to FRS 102 and FRS 105 – Irish company size thresholds

- (ii) In June 2024, regulations were made in the Republic of Ireland which amended the *Companies Act 2014* to adjust the company size thresholds for micro and small companies.
- (iii) As a result, it was necessary to amend Appendix IV *Republic of Ireland legal references* to both FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* and FRS 105 *The Financial Reporting Standard applicable to the Micro-entities Regime*.
- (iv) The measures introduced by the regulations apply for financial years beginning on or after 1 January 2024. Companies may elect to apply the measures for financial years beginning on or after 1 January 2023.
- (v) As these amendments reflect changes in Irish company law, they are not expected to introduce changes in financial reporting other than when required by law. There should be no practical impact on entities in the UK.

***Amendments to FRS 102 *The Financial Reporting Standard*
applicable in the UK and Republic of Ireland***

Amendments to Section 1

Scope

- 1 The following paragraph sets out the amendments to Section 1 *Scope* (inserted text is underlined).
- 2 A heading and paragraph 1.69 are inserted as follows:

Irish company size thresholds

- 1.69 In August 2024 an amendment was made to paragraph A4.6 of Appendix IV *Republic of Ireland legal references* of this FRS. This reflected the amendments made to the *Companies Act 2014* by the *European Union (Adjustments of Size Criteria for Certain Companies and Groups) Regulations 2024* (SI No. 301 of 2024), which apply for financial years beginning on or after 1 January 2024, with early application permitted for financial years beginning on or after 1 January 2023.

Amendments to Appendix IV

Republic of Ireland legal references

- 3 The following paragraph sets out the amendments to Appendix IV *Republic of Ireland legal references* (deleted text is struck through, inserted text is underlined).
- 4 Paragraph A4.6 is amended as follows:

A4.6 The *Companies Act 2014* includes a small companies regime (which is similar but not identical to the UK small companies regime). When a company qualifies as a small company in accordance with section 280A or 280B (small holding company) of the *Companies Act 2014*, as may be appropriate, then the small companies regime may be applied by the company in respect of financial statements and reports for a financial year, in relation to which that company qualifies as a small company (section 280C of the *Companies Act 2014*).

The definitions of a small company and a small holding company are contained in sections 280A and 280B of the *Companies Act 2014*. These sections also detail certain companies that cannot qualify as a small company or small holding company and are therefore excluded from the small companies regime.

Subject to certain conditions and exclusions, the qualifying conditions are met by a company if, in relation to a financial year, it does not exceed two or more of the following criteria:

(a)	Turnover	€12 million <u>€15 million</u>
(b)	Balance sheet total	€6 million <u>€7.5 million</u>
(c)	Average number of employees	50

A newly incorporated company must meet the qualifying conditions in relation to its first financial year to qualify as a small company.

In relation to a subsequent financial year (referred to as a 'relevant year') the qualifying conditions must be met by a company (i) in respect of the relevant year and the financial year immediately preceding the relevant year; (ii) in respect of the relevant year and the company qualified as a small company in relation to the financial year immediately preceding the relevant year; or (iii) in the financial year immediately preceding the relevant year and the company qualified as a small company in relation to that preceding financial year.

A holding company can only qualify as a small company in relation to a financial year if the group that it heads qualifies as small (as set out in section 280B of the *Companies Act 2014*).

A holding company that qualifies for the small companies regime is exempt from the requirement to prepare group financial statements, but may however elect to prepare them.

***Amendments to FRS 105 The Financial Reporting Standard
applicable to the Micro-entities Regime***

Amendments to Section 1

Scope

- 5 The following paragraph sets out the amendments to Section 1 *Scope* (inserted text is underlined).
- 6 A heading and paragraph 1.12 are inserted as follows:

Irish company size thresholds

- 1.12 In August 2024 an amendment was made to paragraph A4.4 of Appendix IV *Republic of Ireland legal references* of this FRS. This reflected the amendments made to the *Companies Act 2014* by the *European Union (Adjustments of Size Criteria for Certain Companies and Groups) Regulations 2024* (SI No. 301 of 2024), which apply for financial years beginning on or after 1 January 2024, with early application permitted for financial years beginning on or after 1 January 2023.

Amendments to Appendix IV

Republic of Ireland legal references

7 The following paragraph sets out the amendments to Appendix IV *Republic of Ireland legal references* (deleted text is struck through, inserted text is underlined).

8 Paragraph A4.4 is amended as follows:

A4.4 The *Companies Act 2014* includes a micro companies regime (which is similar but not identical to that in the UK). When a company qualifies as a micro company in accordance with section 280D of the *Companies Act 2014*, then the micro companies regime may be applied by the company in respect of financial statements and reports for a financial year, in relation to which that company qualifies as a micro company (section 280E of the *Companies Act 2014*).

The definition of a micro company is contained in section 280D of the *Companies Act 2014*. This section also details certain companies that cannot qualify as a micro company and are therefore excluded from the micro companies regime, as outlined below.

Subject to certain conditions and exclusions as noted in section 280D, the qualifying conditions are met by a company if, in relation to a financial year, it qualifies for the small companies regime and does not exceed two or more of the following criteria:

(a)	Turnover	€700,000 <u>€900,000</u>
(b)	Balance sheet total	€350,000 <u>€450,000</u>
(c)	Average number of employees	10

A newly incorporated company must meet the qualifying conditions in relation to its first financial year to qualify as a micro company.

In relation to a subsequent financial year (referred to as a 'relevant year') the qualifying conditions must be met by a company (i) in respect of the relevant year and the financial year immediately preceding the relevant year; (ii) in respect of the relevant year and the company qualified as a micro company in relation to the financial year immediately preceding the relevant year; or (iii) in the financial year immediately preceding the relevant year and the company qualified as a micro company in relation to that preceding financial year.

Certain companies are excluded by section 280D of the *Companies Act 2014* from being treated as micro companies, including those excluded from the small companies regime (as set out in section 280A and 280B), investment undertakings, financial holding undertakings, holding companies voluntarily preparing consolidated financial statements and subsidiaries included in consolidated financial statements. The *Companies Act 2014* should be referred to for a full list of excluded companies.

Approval by the FRC

Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime – Irish company size thresholds was approved for issue by the Financial Reporting Council on 6 August 2024.

Amendments to Basis for Conclusions FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*

- 1 The following amendments are made to the Basis for Conclusions FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (inserted text is underlined).
- 2 The following row is inserted at the end of Table 1 *Exposure drafts and consultation documents*:

Exposure draft	Date of issue	Finalised as	Date of issue	Mandatory effective date
<u>N/A</u>		<u>Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime – Irish company size thresholds</u>	<u>Aug 2024</u>	<u>1 Jan 2024</u>

Amendments to Basis for Conclusions FRS 105 *The Financial Reporting Standard applicable to the Micro-entities Regime*

- 3 The following amendments are made to the Basis for Conclusions FRS 105 *The Financial Reporting Standard applicable to the Micro-entities Regime* (inserted text is underlined).
- 4 The following row is inserted at the end of Table 1 *Exposure drafts and consultation documents*:

Exposure draft	Date of issue	Finalised as	Date of issue	Mandatory effective date
<u>N/A</u>		<u>Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime – Irish company size thresholds</u>	<u>Aug 2024</u>	<u>1 Jan 2024</u>



Financial Reporting Council

8th Floor
125 London Wall
London
EC2Y 5AS

+44 (0)20 7492 2300

www.frc.org.uk